

When studying the market, good investors analyze large data samples to determine probabilities. By doing so, solid conclusions can be scientifically obtained. Recency bias causes investors to place too much emphasis on data recently gathered, rather than examining entire, relevant bodies of information, which often span much more extensive intervals of time. Investors need to be advised to look at underlying value and not just recent performance. If prices have just risen strongly, for example, then assets may be approaching or may have exceeded their fair value. This should imply that there are, perhaps, better investment opportunities elsewhere. In what follows we summarize investment mistakes that can stem from recency bias.

RESEARCH REVIEW

James Montier's February 2003 paper entitled "Irrational Pessimism and the Road to Revulsion"¹ developed a model using recency bias. This is an outstanding real-world application of behavioral finance, as it lets practitioners observe how recency bias, in combination with anchoring bias, creates false intuition regarding market trajectories.

To proxy investors' expectations, Montier draws on two main behavioral biases: (1) anchoring and (2) recency. Recall, from Chapter 11, that anchoring is the term used to describe an investor's adherence to some arbitrary benchmark, often such that related calculations become skewed. Recency bias occurs when more recent events tend to remain more prominent in decision making than events that occurred further in the past. Montier uses both of these biases as the basis for his model of investor expectations regarding equity returns. Anchoring is represented in the model via a dependence of expectations on the long-run real return from U.S. equities (i.e., the long-run return of just over 7 percent is given a weight of 0.75 in this model of expectations).

REGENCY BIAS: BEHAVIORS THAT CAN CAUSE INVESTMENT MISTAKES

1. Recency bias can cause investors to extrapolate patterns and make projections based on historical data samples that are too small to ensure accuracy. Investors who forecast future returns based too extensively on only a recent sample of prior returns are vulnerable to purchasing at price peaks. These investors tend to enter asset classes at the wrong times and end up experiencing losses.